

Blueprint for Success

Veteran realtor Irfan Razack's uncanny ability to spot an opportunity in the most unlikely locations and his courage to take risks are fuelling Prestige's fabulous rise

By **Arnab Dutta**

► **WHEN THE COVID-19** virus started making news in early 2020, most of India's real estate developers were yet to gauge the likely impact of the surging storm. And with the sudden national lockdown halting all activities, they were forced into wait-and-watch mode. Already struggling with poor demand, the residential segment could sense the impending gloom. At Prestige Estates Projects, however, the mood was different.

Under the leadership of its Chairman and Managing Director Irfan Razack, the Bengaluru-based real estate major decided to turn the pandemic into an opportunity. Anticipating a slowdown in the rental business, it offered US-based investment management group Blackstone 12 assets and undertakings comprising completed retail, office- and hotel assets. This included 100 per cent stake in Cessna Business Park and Aloft Hotel, Trade Tower in Bengaluru and Prestige Fintech in GIFT-City. Ad-

ditionally, it sold 85 per cent of its rights and interests in retail properties such as Forum Shantiniketan, Forum Koramangala, Forum Neighbourhood and Oakwood Residences in Bengaluru, Forum Centre City in Mysuru, Forum Fiza in Mangaluru, Forum Celebration in Udaipur and Forum Sujana in Hyderabad. "I had done some calculations you may call intuitions, based on what was the cost against what we were getting from those assets. So, I said to them if you want to take them all, take them, but no cherry picking," Razack recalls.

The deal not only reduced the firm's net debt by 90 per cent to less than ₹1,000 crore, it also reduced its cost of servicing by a big margin.

Since then, Prestige has launched some of its largest projects and has aggressively charted newer territories such as the highly competitive Mumbai market and the Delhi-National Capital Region. Company insiders who have closely watched Razack steering the group during the past two years, say his "positivity" is infectious.

Razack finds himself the winner in the Real Estate category of the BT-PwC India's Best CEOs ranking.

Juggy Marwaha, Chief Executive of Prestige Office Ventures, says, "He made us believe the world is resetting and we are rebooting our energy. Unlike many others, we pushed ourselves and sped up construction and delivery. This resulted in even higher sales. One should learn from this man how to find an opportunity in a crisis."

Be it his associates or competitors, Razack's unconventional operating style draws appreciation from all. Take Raj Menda, Co-owner and Corporate Chairman of RMZ Corp, for instance. He is both. A friend for over 40 years and a fierce competitor in the commercial real estate space, Menda pins Prestige's success to three important factors—Razack's in-depth knowledge on all

Real Estate

Irfan Razack

Chairman & MD, Prestige Estates Projects

Revenue from operations	FY21	4,054.20
	Q3 FY22	996.80
Profit before tax	FY21	235.80
	Q3 FY22	161.20
Profit after tax	FY21	212.80
	Q3 FY22	121.30
	RoE (%)	3.96
	Market cap	18,421.60

- Standalone results; all figures in ₹ crore except RoE
- M-cap as of February 7
- Data Source: BSE, ACE Equity